

Business Understanding

PROJECT OVERVIEW

This project focuses on analyzing customer churn for ABC Communication Ltd. using the Telco Customer Churn dataset. The aim is to understand customer behavior and identify the factors that influence retention and churn.

This analysis will generate insights to support informed decision-making, help the company develop effective customer retention strategies, and improve overall business performance .

Business Problem: Customer Churn

From a commercial standpoint, churn occurs the moment a customer terminates a service, moves to a rival provider, or goes dormant long enough that the relationship is effectively lost.

Telecom feels this acutely: with revenue tied to recurring usage and subscriptions, even modest departures accumulate into meaningful damage over time. Because evidence consistently indicates that keeping an existing customer costs less than winning a new one, curbing churn functions as a direct lever on profitability rather than a routine service concern.

Main churn drivers

Several recurring churn drivers across telecom and comparable service sector include substandard service quality, ineffective customer support, uncompetitive pricing, billing inaccuracies, stronger offers from rivals. and a generally disappointing customer experience, of which feature prominently.

Research also shows that every stage of the customer journey matters: what customers expect before they buy, how easy the purchase feels, and above all the support they receive afterwards.

Each stage either strengthens loyalty or chips away at it, and customers usually leave after frustration builds up over time, not because of a single bad experience.

Why churn analysis matters

Churn analysis matters to ABC Communication Ltd. because it shows why customers leave.

Once the company knows what drives those decisions, it can act early to improve satisfaction, build loyalty, and keep more customers. Those insights also guide better business decisions: stronger service offerings, sharper retention strategies, and smarter y resources. In short, lower churn revenue, a loyal customer base and sustainable growth.

Expected Business Outcome

On completion of this project, ABC Communications expects to:

- Understand customer behaviour more clearly.

- Pinpoint the main drivers of customer churn.

- Identify the segments that need focused retention effort• Strengthen customer satisfaction and loyalty.

- Lower churn and improve long-term profitability through better-informed decisions.